

ANNOUNCEMENT OF RESULTS FOR THE YEAR ENDED 30 SEPTEMBER 2009 (Audited)

CONSOLIDATED INCOME STATEMENT	Group				Company				CONSOLIDATED BALANCE SHEET	Group		Company	
	30.09.2009	30.09.2008	30.09.2009	30.09.2008	30.09.2009	30.09.2008	30.09.2009	30.09.2008		30.09.2009	30.09.2008	30.09.2009	30.09.2008
	Ksh '000	Ksh '000	Ksh '000	Ksh '000	Ksh '000	Ksh '000	Ksh '000	Ksh '000		Ksh '000	Ksh '000	Ksh '000	Ksh '000
Revenue	2,182,090	1,462,966	827,383	392,648					NON-CURRENT ASSETS				
Gains arising from changes in fair value of biological assets less estimated point of sale costs	568,992	1,302,454	(74,030)	383,958					Property, plant and equipment	2,435,962	1,941,955	1,532,231	1,263,599
Profit from operations	802,873	1,323,920	139,054	342,323					Intangible assets	718	2,368		
Finance costs									Biological assets	4,416,277	3,838,529	1,018,258	1,088,993
Interest income	28,497	17,209	26,129	14,024					Prepaid leases - leasehold land	21,462	21,598	8,390	8,512
Interest expense	(71,649)	(74,723)	(67,374)	(65,838)					Capital work-in-progress	78,573	14,013	68,329	6,717
Profit before taxation, minority interest	759,721	1,266,406	97,809	290,509					Investments in subsidiary companies			72,697	60,797
Tax (charge)	(226,690)	(381,202)	41,992	(87,528)					Other investments	4,229	6,045		1,298
Minority interests	(7,006)	(9,541)	-	-						6,957,221	5,824,508	2,699,905	2,429,916
Profit after tax attributable to members	526,025	875,663	139,801	202,981					CURRENT ASSETS				
Profit/(Loss) arising from operating activities	137,205	(13,408)	191,622	(64,357)					Inventories	227,152	329,891	58,914	173,171
Gains arising from changes in fair value of biological assets	388,820	889,071	(51,821)	267,340					Amount due from subsidiary companies			39,411	35,874
	526,025	875,663	139,801	202,981					Trade and other receivables	265,554	270,179	108,260	131,855
Earnings/ (loss) per share (Kshs) on normal operations	0.60	(0.06)	0.84	(0.28)					Amounts due from related companies	1,695	1,615	1,695	1,615
Earnings / (loss) per share (Kshs) on biological assets	1.70	3.90	(0.23)	1.17					Taxation recoverable	548,646	370,113	19,746	15,136
Net Earnings per share (Kshs)	2.30	3.84	0.61	0.89					Cash and bank balances	1,043,047	971,798	523,617	283,086
Issued and fully paid Shares of Kshs 1 each	228,055	228,055	228,055	228,055						8,000,268	6,796,306	3,223,522	3,070,653
									TOTAL ASSETS				
									EQUITY AND LIABILITIES				
									CAPITAL AND RESERVES				
									Share capital	228,055	228,055	228,055	228,055
									Distributable reserves	627,261	479,670	58,611	(80,358)
									Non - distributable reserves	4,674,983	3,887,709	1,844,181	1,657,573
									Minority interest	131,523	121,871		
										5,661,822	4,717,305	2,152,847	1,805,270
									NON - CURRENT LIABILITIES				
									Bank loan	1,315	4,550	1,315	4,550
									Deferred Tax	1,223,823	969,653	294,460	296,429
									Notes in issue	540,000	600,000	540,000	600,000
									Post employment benefits	163,912	143,575	10,995	11,206
										1,929,050	1,717,778	846,770	912,185
									CURRENT LIABILITIES				
									Trade and other payables	284,453	329,627	159,338	175,587
									Notes in issue	60,000		60,000	
									Short term portion of post employment benefits	10,795	13,824	884	1,500
									Amount due to subsidiary companies			-	168,754
									Tax payable	46,955	10,415		
									Bank overdraft	3,958	4,122	448	4,122
									Short term portion of bank loan	3,235	3,235	3,235	3,235
										406,161	361,223	223,905	353,198
									TOTAL EQUITY	8,000,268	6,796,306	3,223,522	3,070,653
									CONSOLIDATED CASHFLOW STATEMENT				
									OPERATING ACTIVITIES				
									Cash Flow Generated from Operations	412,190	92,284	169,632	(53,067)
									Tax Paid	(59,103)	(6,033)	(4,609)	(2,827)
									Net cash flows (used in) generated from operating activities	353,087	86,251	165,023	(55,894)
									INVESTING ACTIVITIES				
									Purchase of Property, plant and equipment	(38,620)	(287,460)	(7,318)	(229,074)
									Purchase of Leasehold land and buildings	0	(8,000)		
									Purchase of Intangible Assets	(341)	(1,243)		
									Biological assets	(8,756)	(13,136)	(3,294)	(4,946)
									Work in progress	(64,560)	4,238	(61,612)	10,214
									Dividend received from trade investments	0	976		
									Interest received	(0)	17,209		
									Proceeds on sale of property, plant and equipment	1,123	180	1,123	-
									Proceeds on sale of intangible assets	0			
									Transfer /(Purchase) of investments	0	20,971	(11,900)	(24,029)
									Net cash flow used in investing activities	(111,154)	(266,265)	(83,001)	(247,835)
									FINANCING ACTIVITIES				
									Contributions from Minority shareholders	8,000	30,000		
									Notes issued	0	600,000	-	600,000
									Loans repayments	(3,234)	(3,234)	(3,235)	(3,235)
									Interest paid	(43,152)	(77,690)	(41,604)	(8,412)
									Dividend paid on ordinary shares	(45,611)	0	(45,611)	-
									Net cash flow used in financing activities	(83,997)	549,076	(90,540)	588,353
									Net (Decrease) /Increase in Cash and cash equivalents	157,936	369,062	(8,428)	284,624
									Cash and cash equivalents at the beginning of the year	365,991	(1,412)	278,964	(6,227)
									Effect of exchange rate changes	20,761	(1,659)	24,607	567
									Cash and cash equivalents at the end of the year	544,688	365,991	295,143	278,964

Comments on the results

The year 2008-09 has seen an improvement in the financial performance of the Group. The Group's overall turnover increased by 49% from Kshs 1.46 billion in the 2007/08 to Kshs 2.18 billion in 2008/09. In terms of profit, the Group posted a profit after tax arising from operating activities of Kshs. 137.2 million compared to a loss of Kshs. 13.4 million, recorded in the previous year.

The increase in revenue was due to stronger international tea prices and also an increase in total tea and coffee production and sales compared to the previous year. The results were, however, adversely affected by the strengthening of the Kenya shilling during the second half of the year and the continuing rise in costs of inputs particularly in relation to energy, labour and farm inputs.

The total assets of the Group increased to Kshs. 8 billion due to the revaluation carried out during the year.

Despite the effects of the drought, Sasini managed to increase its overall production in both tea and coffee. The effects of the drought were more severe in the coffee sector and despite increased production, there was a drop in quality that affected the proportion of premium grade coffee and as a consequence of which there was a decline in the prices realized per kilogram. The tea sector experienced improved price realization at the auctions, fuelled by under supply in the global tea markets. The volumes improved compared to the previous year, when production was disrupted by the post-election violence experienced in January 2008.

The dairy and horticulture sectors were negatively affected by the drought but remained marginally profitable during the financial year.

The Group continued to implement its diversification strategy during the year with increased throughput in its coffee milling operations and with an increase in the number of Savanna coffee lounges. The Group's diversification into value added activities continues to bear fruit with positive results from the new initiatives, namely, the Coffee Mill, Savanna Coffee Lounge, and the Export Operations. However, high tea prices continue to impact negatively on the performance of value added retail products.

The Group has continued to service its bond interest obligations and the first redemption is due in June 2010.

Dividend

An interim dividend of 20% (Ksh0.20 per share) was paid to shareholders on 10th June 2009.

The Directors will recommend to the members at the forthcoming Annual General Meeting, the payment of a final dividend of 20% (Ksh0.20 per share) for the year ended 30th September 2009, payable less withholding tax, where applicable on or about 4th March 2010 to the members on the register at close of business on 18th February 2010. The Company's register will be closed for one day on 19th February 2010.

Annual General Meeting

The 58th Annual General Meeting of the members will be held at Kamundu Estate, Kiambu on Thursday, 25th February 2010 at 11.30 am.

By Order of the Board

Mrs. M. R. Ekaya
Company Secretary



Savanna The Coffee Lounge now open at:-
- Sasini House, Loita Street
- Nairobi Museum
- Upper Hill next to General Accident House
- United Nation Recreation Centre, Gigiri
- Cameo cinema building, Kenyatta Avenue